

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S PETITION FOR AN AWARD OF ATTORNEYS'
FEES**

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TABLE OF CONTENTS

	Page
TABLE OF AUTHORITIES	ii
<u>PRELIMINARY STATEMENT</u>	1
<u>PROCEDURAL BACKGROUND</u>	2
<u>LEGAL STANDARD</u>	3
<u>ARGUMENT</u>	4
1. Eligibility for Attorneys' Fees.	4
2. Entitlement to Attorneys' Fees.....	4
a. OOCL's refusal to properly serve SEC was objectively frivolous and dilatory.....	5
b. OOCL's TPC and ATPC were objectively unreasonable	6
c. OCL's Litigation Misconduct Needlessly Multiplied Proceedings.....	8
d. Compensation	9
<u>CONCLUSION</u>	10

TABLE OF AUTHORITIES

	Page(s)
 Cases	
<i>Bakerly v. Seafrigo</i> , Dkt. 22-17, Doc. No. 66 (FMC, Jan. 22, 2026)	3, 8, 9
<i>Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.</i> , Dkt. No. 14-04, 2016 WL 511081 (FMC, Sept. 14, 2016)	5, 8, 10
<i>Fogerty v. Fantasy, Inc.</i> , 510 U.S. 517 (1994)	5
<i>Logfret, Inc., v. Kirsha, B. V., et. al.</i> , Dkt. No. 18-10, 2020 WL 13512913 (FMC, Jun. 22, 2020)	6
<i>Tex. State Teacher’s Ass’n v. Garland Indep. Sch. Dist.</i> , 489 U.S. 782 (1989)	4
<i>Trump v. CASA, Inc.</i> , 606 U.S. 831, 2025 WL 1773631 (2025)	7
 Statutes and Regulations	
Shipping Act of 1984, 46 U.S.C. § 40101 <i>et seq.</i>	<i>passim</i>
46 U.S.C. § 41102(a)	2, 4, 7, 8
46 U.S.C § 41301	3
46 U.S.C. § 41305(e)	3
46 C.F.R. § 502.254	1, 3 ,4
 Other Authorities	
Final Rule: Organizations and Functions; Rules of Practice and Procedure; Attorney Fees, 81 Fed. Reg. 10508, 10512 (FMC, 2016)	3, 4
Statement of the Commission On Attorney Fees, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021)	3, 4, 5

Treaties

Convention on the Service Abroad of Judicial and Extrajudicial Documents in
Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S.

No. 6638..... *passim*

PRELIMINARY STATEMENT

Third-Party Respondent Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), pursuant to Rule 254 of the Federal Maritime Commission’s (FMC or Commission) Rules of Practice and Procedure (Commission Rules), 46 C.F.R. § 502.254, hereby respectfully petitions for an award of attorneys’ fees incurred in having to challenge the improper service attempted by, and responding to the meritless Third-Party Complaint (“TPC”) and Amended Third-Party Complaint (“ATPC”) filed by Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively” OOCL”) as part of proceedings herein initiated by Samsung Electronics America, Inc. (“SEA”).

SEC is the prevailing party as to its Motion to Dismiss for the Insufficiency of the Service of Process,¹ the TPC and the ATPC, and is therefore eligible for an award of attorneys’ fees. OOCL’s refusal to make proper service (until it had no choice) led to unnecessary delay and complicated the proceedings. Perhaps more importantly, its TPC and ATPC had no legitimate basis. Dragging SEC into these proceedings did not advance the resolution of the issues raised by SEA’s Complaint but instead required the considerable expenditure of scarce judicial resources. Awarding attorneys’ fees to SEC will further the purpose of the Shipping Act by discouraging such actions while not precluding valid complaints.

¹ While this Motion was denied, OOCL’s Motion to Permit Alternative Service was also denied and the ALJ determined that proper service on SEC in Korea could only be done in accordance with The Convention of the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”).

PROCEDURAL BACKGROUND

The tortured procedural history of this matter bears out the reasonableness of SEC's petition.²

SEA filed a Verified Amended Complaint ("VAC") against OOCL on December 2, 2024, alleging violations of the Shipping Act of 1984 (Doc. No. 17). OOCL answered on December 12, 2024, and asserted a Counterclaim alleging a violation of 46 U.S.C. § 41102(a) (Doc. No. 19). On that same day, OOCL filed its TPC against SEC also alleging a violation of 46 U.S.C. § 41102(a) (Doc. No. 20).

Subsequently, SEA's motion to dismiss the Counterclaim was granted on March 31, 2025 (Doc. No. 38). OOCL appealed to the Commission which affirmed the dismissal on July 30, 2025 (Doc. No. 66) but remanded the matter to allow OOCL to amend its Counterclaim. OOCL filed its Amended Counterclaim ("AMCC") on August 13, 2025 (Doc. No. 69). The AMCC, which was essentially the same, was, upon SEA's motion (Doc. No. 74), subsequently dismissed by the Presiding Officer on November 26, 2025 (Doc. No. 98). OOCL did not appeal the dismissal; the Commission did not choose to review, and the decision became final as reported on December 29, 2025 (Doc. No. 101).

Concerning the TPC, on January 9, 2025, SEC filed a Notice of Special Appearance (Doc. No. 25) and, on January 29, 2025, filed its Motion to Dismiss based on OOCL's failure to comply with the requirements of the Hague Convention (Doc. No. 32). OOCL later filed its Motion for Alternative Service (Doc. No. 56). Following further briefing, on July 10, 2025, the Presiding

² The full details of the multiple pleadings, status conferences and orders spawned by OOCL's improper service, the Counterclaim and Amended Counterclaim, the TPC and ATPC are set forth in the Declaration of James H. Hohenstein, dated January 26, 2026 ("Hohenstein Decl.") submitted herewith.

Officer found that SEC had not been properly served; dismissed the pending motions and ordered that OOCL could have a reasonable amount of time to serve SEC properly (Doc. No. 65). Service in accordance with the Hague Convention was accomplished on August 13th and proof of service was filed on September 18, 2025 (Doc. No. 77).

SEC filed its Motion to Dismiss the Third-Party Complaint for Failure to State a Cause of Action upon which Relief may be Granted on September 8, 2025 (Doc. No. 73). Before that motion could be heard, OOCL filed its Unopposed Motion for Leave to File an Amended Third-Party Complaint and for the Suspension of Time to Oppose SEC's Motion to Dismiss on September 18, 2025 (Doc. No. 78). OOCL's motion was granted on September 22, 2025 (Doc. No. 79). OOCL submitted its ATPC (Doc. No. 85). SEC moved to dismiss the ATPC and the Motion was granted on November 26, 2025, and leave to further amend denied (Doc. No. 98). OOCL did not file an appeal; the Commission declined to review, and the decision became final as reported on December 29, 2025 (Doc. No. 101).

LEGAL STANDARD

The prevailing party in a complaint brought under 46 U.S.C § 41301 may receive an award of reasonable attorneys' fees. 46 U.S.C. § 41305(e). The Commission's rules implementing this are codified at 46 C.F.R. § 502.254. Fee awards are predicated upon a two-step inquiry: (1) whether the petitioner is a "prevailing party" and if so, (2) whether the petitioner is entitled to attorneys' fees in light of the purposes of the Shipping Act and the factors the Commission has identified. Statement of the Commission On Attorney Fees, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021) ("**Policy Statement**"); *Bakerly v. Seafrigo*, Dkt. 22-17, Doc. No. 66 at 8 (FMC, Jan. 22, 2026). The petitioner must prove eligibility and entitlement and support the reasonableness of the requested fees. 46 C.F.R. § 502.254(d).

ARGUMENT

1. Eligibility for Attorneys' Fees.

To be eligible, a petitioner for attorneys' fees must establish that it is the prevailing party. The prevailing party may be a complainant or respondent; the Commission looks for "a material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute." Final Rule: Organizations and Functions; Rules of Practice and Procedure; Attorney Fees ("**Final Rule**"), 81 Fed. Reg. 10508, 10512 (2016)(quoting *Tex. State Teacher's Ass'n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)); **Policy Statement** at 3 ("A respondent is generally a prevailing party when the presiding officer rebuffs a complainant's claims...grants the respondent's motion to dismiss with prejudice...").

Clearly SEC is the prevailing party as OOCL's studied and continuous attempts to avoid the procedures of the Hague Convention were rebuffed and its ATPC was dismissed without leave to amend.³ Further, this decision is administratively final as reported on December 29, 2025; thus, SEC's petition for attorneys' fees is timely filed within the 30-day requirement set out in 46 C.F.R. § 502.254(c).

2. Entitlement to Attorneys' Fees.

The Commission's primary consideration in determining entitlement to attorneys' fees is whether an award is consistent with the purposes of the Shipping Act. **Final Rule**, 81 Fed. Reg. at 10515. There is no presumption in favor of or against fees, and prevailing complainants and prevailing respondents are treated alike. *Id.* The Commission has identified a non-exclusive set

³ In his Order, the Presiding Officer denied leave to amend on the ground of futility. He also raised the questions of OOCL's dilatory motives, noting that "OOCL has already attempted to refine its allegations under § 41102(a), that it wants still more opportunities to refine its allegations, and that it is openly stating that it will continue to make appeals and cause delay, it raises the question whether dilatory motive is also a reason to deny leave to [amend]." (Doc. No. 98 at 13 n. 10).

of factors, drawn from *Fogerty v. Fantasy, Inc.*, 510 U.S. 517 (1994), that guide the entitlement analysis. See *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, Inc.*, Dkt. No. 14-04, 2016 WL 511081 at *5 (FMC, Sept. 14, 2016). These factors include frivolousness, motivation, objective unreasonableness, and the need in particular circumstances to advance considerations of compensation and deterrence. *Id.* The Commission may consider additional factors depending on the issues raised in a specific case. **Policy Statement** at 4, n.22.

a. OOCL’s refusal to properly serve SEC was objectively frivolous and dilatory.

From the outset, OOCL consistently ignored its responsibility to serve SEC in accordance with the provisions of the Hague Convention. The TPC was filed on December 12, 2024 (Doc. No. 29). SEC appeared and filed a Notice of Special Appearance (Doc. No. 25), in which, *inter alia*, it advised that the attempted service was being challenged as insufficient. Rather than taking any action to determine what the proper method of service might be for a foreign corporation, OOCL did nothing. On January 29, 2025, SEC filed its Motion to Dismiss, in which it set out the requirements for service pursuant to the Hague Convention (Doc. No. 32). In its response, OOCL instead chose to argue irrelevances and to plead that, if SEC’s Motion was granted, OOCL be granted additional time to effect service. (Doc. No. 33). Still - OOCL did nothing. Instead, ***nearly five months later***, on June 24, 2025, OOCL filed a Motion to Permit Alternative Service, stating that granting such Motion would “would permit the dispute over service to be resolved promptly and avoid the multi-month delays and excess use of the Commission’s resources that would result from service under the Hague Convention.” (Doc. No. 56 at 2). This Motion was denied on July 10, 2025, and OOCL had no choice but to make service pursuant to the terms of the Hague Convention (Doc. No. 65).

SEC acknowledges that its Motion to Dismiss pertaining to the Hague Convention service was not granted in full – dismissal was not ordered. Nevertheless, SEC submits that it is the prevailing party – OOCL had to serve under the Hague Convention and OOCL’s own Motion for Alternative Service was denied in full. Moreover, the Presiding Officer clearly rejected OOCL’s arguments. “I am not persuaded by this reason [avoidance of delay] for permitting alternative service.... Moreover, OOCL has never attempted service under the Hague Convention procedures.” (Doc. No. 65 at 6).

Had OOCL properly served SEC at the beginning, service could have been completed by about February 2025, avoiding five months of delay and obviating the necessity for multiple rounds of motion practice.

b. OOCL’s TPC and ATPC were objectively unreasonable.

OOCL’s TPC was based on completely unsubstantiated and unfounded allegations that SEC (which had not been involved in the dispute beforehand) had “controlled” SEA and caused it to file a complaint against OOCL as part and parcel of a conspiracy to violate the Shipping Act of 1984. The ATPC continued to allege that SEC and SEA had conspired against OOCL by a hidden intent not to abide by the terms of the service agreements at issue. Both the TPC and ATPC were premised on the dispute between SEA and OOCL regarding SEA’s Shipping Act claims. Neither pleading offered any substantiation of the convoluted allegations nor any allegations to support claims of a violation of the Shipping Act.

Objective unreasonableness is generally used to describe claims that have no legal or factual support or basis, or are otherwise clearly without merit. *Logfret, Inc., v. Kirsha, B. V., et. al.*, Dkt. No. 18-10, 2020 WL 13512913, at *4 (FMC, Jun. 22, 2020). OOCL’s TPC and ATPC were objectively unreasonable.

First, as ALJ Ambrow noted in his Order of June 11, 2025, the TPC was “substantially similar” to the Counterclaim against SEA, which had already been dismissed for failure to state a claim. (“As a matter of law, OOCL’s allegations cannot establish the second element of a § 41102(a) claim.” (Doc. No. 38 at 5)).⁴ In fact, the Presiding Officer expressed skepticism that the TPC would withstand a Motion to Dismiss and ordered OOCL to file a Supplemental Brief “explaining why its Third-Party Complaint should not be dismissed for failure to state a claim upon which relief may be granted.” (Doc. No. 49 at 4.) It would seem likely that, had SEC been properly served and a party, ALJ Ambrow would simply have dismissed the TPC at that time (a clear indication of how meritless the TPC was). However, due to the unreasonable delay in serving SEC, as noted above, he was precluded from taking such action. (Doc. No. 65 at 7, citing *Trump v. CASA, Inc.* 606 U.S. 831, 843-44, 2025 WL 1773631 at *7 (2025)).

Second, notwithstanding being given the clear indication that its TPC was insufficient, OOCL, in its Supplemental Brief (Doc. No. 59), offered no new or substantiated allegations – OOCL merely attempted to expand its unsupported arguments that SEC and SEA acted in concert to violate the Shipping Act. And given the unopposed opportunity to amend its TPC, OOCL still failed to state a claim that had any legal or factual support or basis. Moreover, it became clear from OOCL’s brief filed in Opposition to SEC’s Motion to Dismiss the ATPC (Doc. No. 95), that its allegations were simply repetitive of the TPC, which were in turn, repetitive of the already-dismissed Counterclaim.

⁴ The dismissal was affirmed by the Commission. “We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an ‘unfair device’ under section 41102(a).” (Doc. No. 66 at 18).

The unreasonable nature of the claims against SEC was made clear in the Order granting Dismissal (Doc. No. 98) of both the AMCC and the ATPC: “All of the allegations ultimately turn on the resolution of the same claims that form the basis of the facially-valid VAC. And a legitimate dispute cannot be an unjust or unfair means or device...Therefore, neither the AMCC nor the ATPC allege an unfair or unjust device or means.” (*Id.* at 10-11, internal citations omitted.)

This was notwithstanding the numerous opportunities OOCL had to try and develop non-frivolous allegations: the Counterclaim, the AMCC, the TPC, the ATPC. That all its efforts came to naught is simply a further affirmation of the groundless nature of the allegations *ab initio*. It is unsurprising that the Presiding Officer denied OOCL’s request for leave to amend. “Given that OOCL has already attempted to refine its allegations under § 41102(a), that it wants still more opportunities to refine its allegations, and that it is openly stating that it will continue to make appeals and cause delay, it raises the question whether dilatory motive is also a reason to deny leave to [amend].” (*Id.* at 13 n. 10.)

c. OCL’s Litigation Misconduct Needlessly Multiplied Proceedings

The Commission has also recognized that litigation misconduct and unnecessary multiplication of proceedings can justify fee awards, particularly where a party disregards ALJ or Commission orders or fails to terminate claims when their lack of merit becomes clear. *Edaf Antillas, Inc.* 2016 WL 511081 at *5; *Bakerly*, Doc. 66 at 26. First, as noted above, OOCL’s obstinate refusal to properly serve SEC, even after being advised of the Hague Convention requirements, resulted in over five months of delay and associated expenses and efforts to ensure that SEC was properly before the Commission, a prerequisite to SEC’s ability to defend itself against the TPC. Second, given that OOCL’s TPC closely tracked its Counterclaim, it should have recognized the deficiencies therein when the Counterclaim was first dismissed. Instead, when

given the opportunity to amend the TPC (as well as the Counterclaim), it merely repeated and expanded its allegations with no substantive changes, leading to the dismissal of both matters.

OOCL's baseless refusal to follow proper service procedure, and its determined pursuit of its frivolous, unsupportable TPC and ATPC required SEC to prepare multiple submissions to seek proper service and the dismissal of the TPC and ATPC. This effort should have been unnecessary. OOCL's actions were clearly aimed at causing unnecessary delay during its dispute with SEA and support the award of fees to SEC.

d. Compensation

Finally, compensation considerations support a fee award. SEC has incurred substantial attorneys' fees solely because OOCL chose to drag it, an unrelated party, into its dispute with SEA, despite there being no valid reason to do so. Leaving SEC to absorb those costs would undermine the Commission's repeated assurances that while parties may litigate meritorious claims and defenses without fear of fee-shifting, the Commission will act to discourage the type of abusive or objectively unreasonable pleading that occurred here. A fee award for the fees SEC has incurred in responding to OOCL's refusal to serve it properly, its baseless and unjustified TPC and ATPC, and in preparing this Petition appropriately balances compensation and deterrence without chilling legitimate Shipping Act litigation.

Concerning the quantum of SEC's claim, as noted by the Commission: "Time records prepared when the work was performed supplemented by a declaration from the counsel assigned to the case provide a reliable and reasonable basis for accepting the petitioning party's records as accurate." *Bakerly*, Doc. No. 66 at 30. As to whether the hourly rates are reasonable, the Commission relies on the Laffey Matrix. *Id.* The information presented in the Hohenstein

Declaration complies with these requirements and provides compelling support for SEC's claim for attorneys' fees in principal amount of \$155,185.00.⁵

CONCLUSION

Granting SEC's petition furthers the purposes of the Shipping Act and is consistent with maintaining the Commission's role in providing a fair forum for the resolution of Shipping Act claims and disputes. For the foregoing reasons, SEC respectfully requests that the Presiding Officer find that SEC is both eligible and entitled to an award of reasonable attorneys' fees in the principal amount of \$155,185.00 and grant such other and further relief as the Presiding Officer deems just and proper.

Dated: January 26, 2026

Respectfully submitted,

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⁵ The Commission has also allowed for the recovery of attorneys' fees related to preparing the fee petition, as is claimed here. *See Edaf Antillas*, 2016 WL 511081 at *9.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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